

UNIT 8

Pricing & Packaging

Value-Based Strategy

Future of PMM Academy

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Overview

Pricing is the most underleveraged lever in product marketing. Small changes in pricing and packaging can have outsized revenue impact—but most PMMs avoid the topic because it feels like “someone else’s job.” This unit demystifies pricing strategy and gives you practical frameworks for packaging decisions.

Learning Objectives

By the end of this unit, you will be able to:

- Apply value-based pricing principles to B2B products
- Design packaging tiers that maximize revenue and adoption
- Use AI to analyze competitive pricing and model scenarios
- Build business cases for pricing changes
- Navigate cross-functional pricing discussions with confidence

Section 1: Pricing Fundamentals

The Three Pricing Orientations

Every pricing decision reflects an underlying philosophy:

Cost-Plus Pricing - Calculate costs, add margin, set price - Simple but ignores customer value - Common in commodity businesses - Leaves money on the table when value exceeds cost

Competitive Pricing - Match or undercut competitor prices - Easy to benchmark but creates race to bottom - Assumes competitors priced correctly (they probably didn’t) - Ignores differentiation and unique value

Value-Based Pricing - Price based on customer value delivered - Requires understanding of customer economics - Captures more value when differentiation is real - Demands rigorous value quantification

The PMM’s Role in Pricing

You’re not setting prices unilaterally, but you bring critical inputs:

- **Buyer Perspective:** What do customers value? What are they comparing you to?
- **Competitive Context:** How are alternatives priced? What’s the market expectation?
- **Messaging Alignment:** Can you justify the price with credible value stories?
- **Segment Intelligence:** Different buyers have different willingness to pay

Section 2: Value-Based Pricing in Practice

Quantifying Customer Value

Value-based pricing requires converting benefits to dollars. The framework:

Economic Value = Reference Price + Differentiation Value

Where:

- **Reference Price:** What would the customer pay for the next-best alternative?
- **Differentiation Value:** Quantified value of your unique advantages

Differentiation Value Categories

Revenue Enhancement - Increased conversion rates - Higher customer lifetime value - Faster time to revenue - New revenue opportunities enabled

Cost Reduction - Reduced labor costs (automation, efficiency) - Lower technology costs (consolidation, replacement) -

Decreased error rates and rework - Compliance cost avoidance

Risk Reduction - Avoided downtime costs - Regulatory penalty prevention - Security breach cost reduction - Business continuity value

Building the Value Model

A credible value model requires:

1. **Baseline Metrics:** Current state without your solution
2. **Improvement Assumptions:** Conservative, realistic improvements
3. **Dollar Translation:** Converting improvements to financial impact
4. **Sensitivity Analysis:** How results change with different assumptions

Example structure for a sales productivity tool:

Baseline: $100 \text{ reps} \times \$500\text{K quota} \times 85\% \text{ attainment} = \42.5M
Improvement: +5% attainment from better tools
Impact: $100 \text{ reps} \times \$500\text{K} \times 5\% = \$2.5\text{M additional revenue}$
Value Capture: If you charge \$500K/year, you're capturing 20% of created value

Section 3: Packaging Strategy

Why Packaging Matters

Packaging—how you bundle features into products and tiers—often has more revenue impact than price changes. Good packaging:

- Creates natural upgrade paths
- Prevents revenue leakage to lower tiers
- Differentiates on dimensions customers value
- Simplifies buying decisions

Packaging Dimensions

Common ways to tier packages:

Volume/Usage - Users, seats, contacts - API calls, storage, compute - Clear, but can limit adoption

Features/Capabilities - Advanced features in higher tiers - Module-based packaging - Risk: must pick the right features

Service Level - Support response time - Dedicated resources - Implementation services

Customer Type - Startup vs. enterprise pricing - Industry-specific packages - Geographic variations

Good Fences Make Good Tiers

The features that differentiate tiers need to be:

- **Valuable to upgraders:** Must solve real problems
- **Invisible to non-upgraders:** Don't create resentment
- **Hard to work around:** Not easily replicated manually
- **Operationally clean:** Easy to enable/disable

Poor fence examples: - Features everyone needs (creates frustration) - Features few people need (no upgrade incentive) - Features easy to work around (reduces urgency)

Good fence examples: - Team collaboration features (valuable at scale) - Advanced analytics (grows with sophistication) -

Section 4: Competitive Pricing Intelligence

What to Monitor

Competitive pricing intelligence covers:

- **Published Pricing:** Listed prices, tier structures
- **Actual Pricing:** Street prices from win/loss data
- **Packaging Changes:** Feature additions, tier restructuring
- **Promotional Activity:** Discounts, bundles, special offers
- **Contract Terms:** Length, payment terms, cancellation

AI-Assisted Competitive Analysis

AI accelerates competitive pricing research:

- Monitor pricing page changes automatically
- Extract pricing from sales transcripts and win/loss interviews
- Model competitor pricing scenarios
- Identify pricing patterns across competitive deals

Using Competitive Data

Competitive pricing informs but doesn't dictate:

- Understand market reference points
- Identify positioning opportunities (premium or value)
- Anticipate competitive responses to price changes
- Find packaging innovations worth borrowing

Section 5: Making the Business Case

Pricing Change Business Cases

Any pricing change requires a business case covering:

Revenue Impact - Volume effects (will demand change?) - Mix effects (will tier distribution shift?) - Competitive effects (will win rates change?)

Risk Assessment - Customer reaction (existing and new) - Competitive response likelihood - Sales force readiness

Implementation Requirements - System changes - Sales enablement - Customer communication - Legal/contractual considerations

Price Increase Communication

Price increases require careful messaging:

Internal First - Arm sales with talk tracks before announcement - Prepare for objection handling - Align on exception policies

Customer Communication - Lead with value delivered/added - Provide adequate notice - Offer transition paths if needed - Train frontline on response handling

Key Takeaways

1. Value-based pricing captures more revenue but requires quantified value models
2. Packaging often has more impact than price—choose tier fences carefully
3. Competitive pricing informs but shouldn't dictate your strategy
4. Price changes need business cases covering revenue, risk, and implementation
5. Communication matters as much as the number—prepare sales and customers

Assessment

Complete the Unit 8 assessment (10 questions, 80% to pass) to unlock the next unit.

Lab Exercise

Pricing Analyzer Lab: Use AI to build a value model for a product, analyze competitive pricing data, and design packaging tiers with appropriate feature fences. Model revenue impact of different pricing scenarios.